

HOUSE BILL 1767

By Clemmons

AN ACT to amend Tennessee Code Annotated, Title 67,
Chapter 6, relative to food and food ingredients.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 67, Chapter 6, Part 3, is amended by adding the following as a new section:

67-6-359.

(a) There is exempt from the tax imposed by this chapter the retail sale of food and food ingredients, as defined in § 67-6-102, if sold to a member of an eligible family.

(b)

(1) An eligible family that is seeking the exemption provided under this section must submit an application for exemption to the commissioner of revenue, providing proof of eligibility that may be evidenced by submitting with the application a copy of the most recent federal income tax return as reported on form 1040. The application must be submitted on forms prescribed by the commissioner.

(2) If the exemption is approved by the commissioner, then the department of revenue shall issue a sales and use tax exemption certificate and wallet-sized card, which may be made of paper, to the applicant that declares that the applicant is entitled to the exemption provided by this section.

(3) An eligible family that has obtained an exemption certificate and card issued by the department shall present the card to a retailer or provide the retailer with a copy of the certificate of exemption, which must include the exemption account number included on the certificate issued by the

commissioner. The retailer shall record the exemption account number and maintain a copy of such exemption in the retailer's records to document that the purchaser was entitled to the exemption.

(c) For purposes of this section:

(1) "Eligible family" means a family with:

(A) An annual household income that does not exceed three hundred percent (300%) of the amount required for a student to qualify for free or reduced price lunch, as provided in the income eligibility guidelines published by the United States department of agriculture's food and nutrition service; and

(B) A qualifying child or qualifying relative, as those terms are defined in § 152 of the Internal Revenue Code (26 U.S.C. § 152), claimed as a dependent for federal income tax purposes.

SECTION 2. For purposes of promulgating rules and forms, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect July 1, 2026, the public welfare requiring it.